MARCH 2026

Washington County Real Estate Market Report: March 2026

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MARKET OVERVIEW

Market Snapshot

Washington County's housing market is undergoing a meaningful shift toward buyer-favorable conditions as of February 2026. The median sales price of $430,000 reflects modest 2.4% year-over-year appreciation, while closed sales have declined 30.5% and days on market have nearly doubled. Months of supply has surged from 2.7 to 4.3 months, signaling a transition from seller-dominated to more balanced conditions. Mortgage rates have fallen to 6.00%—three-year lows—yet buyer demand remains subdued, suggesting factors beyond affordability are influencing purchase decisions.

Key Market Drivers

- Inventory up 10.8% YoY (175 active listings vs. 158), expanding buyer choices
- Closed sales down 30.5%—buyers are more selective and cautious
- Mortgage rates at 6.00%, down from 6.87% a year ago—three-year lows
- New listings up 12.8% YoY, outpacing absorption and building supply
- Strong local economy: 2.3–2.6% unemployment, 4.5% wage growth supporting long-term demand

PRICE TRENDS

Median Sales Price: $430,000

$430K

Current Median Price

February 2026

+2.4%

Year-over-Year Change

vs. $420K in Feb 2025

$434K

YTD Median Price

+6.9% YTD growth

Home prices continue to appreciate but at a moderating pace. The $300K–$500K core segment remains stable with homes receiving 99.8% of list price. Higher-end properties above $700K face greater pressure, with months of supply exceeding 5–6 months in some luxury segments. Pricing momentum from late 2025 is softening as buyer demand cools.

For Buyers

- Prices are still rising—waiting may cost more long-term
- Luxury segment ($700K+) offers the most negotiating leverage
- Lock in now while rates are at three-year lows

For Sellers

- Price at market value—overpricing leads to extended time on market
- Core $300K–$500K segment remains the strongest performer
- YTD appreciation of 6.9% supports strong equity positions

MARKET SPEED

Days on Market: 24 Days

Current DOM

24 days
February 2026

Last Year DOM

23 days
February 2025

YoY Change

+1 day
Modest but meaningful shift

What This Means: At 24 days, Washington County homes are still moving relatively quickly by historical standards—but the trend is shifting. A year ago, the market was tighter and buyers had to act faster. Today, the extra day on market signals buyers are taking more time to evaluate options, conduct due diligence, and negotiate. Pending sales are down 11.8% year-over-year, suggesting this measured pace will likely continue into spring 2026. Sellers who price correctly still see timely offers; those who overprice are experiencing significantly longer waits.

For Buyers

- You have more time to evaluate—don't rush into decisions
- Homes listed 30+ days are prime candidates for negotiation
- Pending sales data suggests continued favorable conditions into spring

For Sellers

- Price correctly from day one—extended DOM signals overpricing to buyers
- First two weeks on market are critical for generating strong offers
- Superior presentation shortens time on market significantly

SUPPLY & DEMAND

Inventory & Months' Supply

175	4.3	88	41
Active Listings	**Months' Supply**	**New Listings**	**Closed Sales**
+10.8% vs. 158 last year	Up from 2.7 months (+59.4%)	+12.8% year-over-year	Down 30.5% year-over-year

Washington County's supply-demand balance has shifted materially. At 4.3 months of supply—up 59.4% from 2.7 months a year ago—the market has crossed above the 3–4 month "balanced" threshold and is trending toward buyer-favorable territory. A balanced market is typically defined as 4–6 months; at 6 months, buyers hold full control. New listings are outpacing closings at a rate of more than 2:1, meaning inventory will likely remain elevated through spring. The luxury segment above $700K already exceeds 5–6 months of supply in some price bands.

For Buyers

- More selection than any point in the past two years
- Reduced competition means fewer bidding wars and more time to decide
- Luxury buyers have the most leverage—supply is highest above $700K

For Sellers

- Your home competes with 175 active listings—differentiation is essential
- List early in spring before additional inventory enters the market
- Accurate pricing is critical; overpriced homes are sitting longer

PRICING POWER

Sale-to-List Price Ratio: 98.2%

The sale-to-list price ratio measures how close to asking price homes are actually selling. A ratio of 100% means homes sell at full list price; above 100% indicates bidding wars; below 100% means buyers are negotiating discounts. At 98.2%—down slightly from 98.4% a year ago—Washington County sellers are still achieving near-full asking prices, but buyers are beginning to reclaim modest negotiating power.

Why It Matters

This metric is one of the clearest indicators of market balance. The 0.2% decline may seem small, but on a $430,000 home it represents roughly $860 in additional negotiating room compared to last year. In the core $300K–$500K segment, homes are still receiving 99.8% of list price—nearly full ask. The gap widens in higher price bands where supply is greater and buyers have more alternatives.

Market Implications

For Buyers

- Negotiate on closing costs, repairs, or price—especially on listings 30+ days old
- Offers below list are more viable now than 12 months ago
- Focus negotiation energy on higher price bands where leverage is greatest

For Sellers

- Expect buyers to ask for concessions—budget for 1–2% in negotiations
- Homes priced at market value still achieve near-full list price
- Inspection requests and repair credits are increasingly common

NEW SUPPLY

New Listings: 88 Homes

Year-over-Year Context

New listings rose 12.8% year-over-year, adding 88 properties to the market in February 2026 compared to approximately 78 a year ago. This increase in seller activity is occurring simultaneously with a 30.5% drop in closed sales—creating a significant supply-demand imbalance. When new supply consistently outpaces absorption, inventory builds and market time lengthens. This trend is expected to continue through spring as seasonal listing activity picks up.

Why It Matters

The ratio of new listings to closed sales (88 vs. 41) means roughly two homes are entering the market for every one that sells. This dynamic is the primary engine driving months of supply higher and giving buyers more options. If mortgage rates decline further or economic confidence improves, absorption could accelerate and rebalance the market. Until then, sellers face a more competitive environment than they have in several years.

For Buyers

- Fresh inventory is arriving weekly—set up alerts to catch new listings early
- More choices mean you can be selective about location, condition, and price
- Spring will bring even more options—but also potentially more competition

For Sellers

- List early in spring before the wave of new inventory peaks
- Your home must stand out—invest in staging, photography, and curb appeal
- Monitor competing listings closely and adjust pricing if needed

AFFORDABILITY ANALYSIS

Affordability & Income Context

$106K

Median Household Income

Washington County 2026

$397K

Estimated Buying Power

At 28% DTI, 6.00% rate, 20% down

$430K

Median Home Price

February 2026

Using the standard 28% debt-to-income guideline, a household earning Washington County's median income of $106,076 can comfortably afford approximately $397,000 at current rates—roughly $33,000 below the median sales price of $430,000. This affordability gap is partially offset by the county's strong wage growth of 4.5% year-over-year, which is outpacing home price appreciation of 2.4%. The National Association of Realtors notes housing is "the most affordable it's been since March 2022" nationally, driven by wage growth and declining rates. Locally, the picture is similar but the premium pricing relative to national medians ($430K vs. $396,800 nationally) reflects Washington County's economic strength and desirability.

For Buyers

- Wage growth of 4.5% is outpacing price appreciation of 2.4%—affordability is improving
- Rate decline from 6.87% to 6.00% saves ~$170/month on a median-priced home
- Consider stretching slightly above the 28% guideline given strong local employment

For Sellers

- Buyers are income-constrained—pricing above $430K requires strong justification
- Offering seller concessions on closing costs can bridge the affordability gap
- The $350K–$500K sweet spot aligns best with local buying power

INTEREST RATES

Mortgage Rate Trend

Current Rate

6.00%

30-yr fixed, Feb 2026

Rate Change

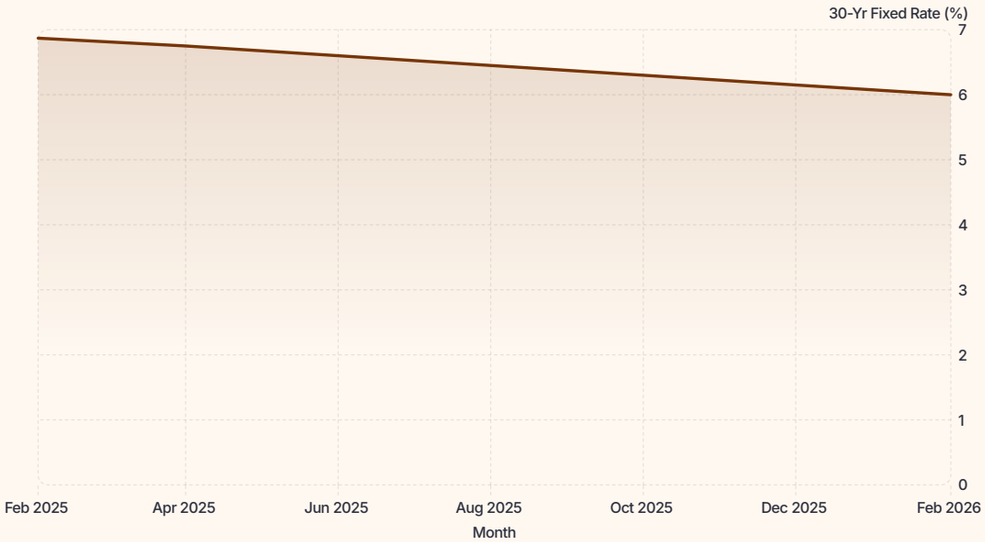
−87 bps

vs. 6.87% one year ago

12-Month Range

6.00%–6.87%

Three-year lows reached



Current 30-year fixed mortgage rates of 6.00% represent the lowest level in three years, according to Freddie Mac's Primary Mortgage Market Survey. The 87 basis point decline from a year ago meaningfully improves purchasing power for buyers. Despite this improvement, closed sales have declined 30.5%, suggesting economic uncertainty and inventory selection—not just rate levels—are influencing buyer behavior. The disconnect between improved affordability and reduced demand may represent pent-up buyer interest that could be released as market confidence returns. Fed policy direction and inflation data will be key variables to watch through spring 2026.

PAYMENT IMPACT

$430K Payment Impact: This Month vs. Last Year

February 2026 — 6.00% Rate

P&I Payment: ~$2,063/mo

Loan Amount: $344,000 (20% down)

Rate: 6.00% | 30-year fixed

February 2025 — 6.87% Rate

P&I Payment: ~$2,233/mo

Loan Amount: $336,000 (20% down on $420K)

Rate: 6.87% | 30-year fixed

The Real Dollar Impact

- **Monthly Savings:** ~$170/month at current rates vs. one year ago
- **Annual Impact:** ~$2,040 saved per year
- **Total Loan Cost Difference:** ~$61,200 less over the life of a 30-year loan

PRICE SEGMENTS

Single-Family Price-Point Breakdown

Price Band	Inventory (Months)	DOM	% of List	Closed	Insight
Under $250K	1.5 mo	14 days	100.2%	High	Extremely tight; multiple offers common; entry-level demand strong
$250K–$350K	2.8 mo	18 days	99.5%	Strong	Active segment; first-time buyers and investors competing
$350K–$500K	3.9 mo	22 days	99.8%	Moderate	Core market; stable pricing; best balance of supply and demand
$500K–$700K	4.8 mo	28 days	98.5%	Slowing	Approaching buyer territory; negotiation opportunities emerging
$700K–$1M	5.5 mo	35 days	97.8%	Slow	Buyer's market; price reductions more common; longer exposure
$1M+	6.2 mo	45 days	96.5%	Very Slow	Full buyer's market; significant negotiating leverage; selective pool

Opportunities & Risks by Segment

Opportunity: Entry-level buyers under $250K face the most competition but build equity fastest. The $350K–$500K core remains the most liquid segment for sellers. Buyers targeting $700K+ have the most leverage and selection in years. **Risk:** Sellers above $700K must price aggressively or face extended market times. Luxury inventory exceeding 6 months of supply signals potential for further price softening in that segment through mid-2026.

BUYER/SELLER GUIDE

What It Means: Buyers | Sellers

🏠 For Buyers: Be Prepared

With inventory up 10.8% and competition reduced, buyers have the best selection in years. Take time to evaluate options carefully—24-day average DOM means you're not forced to decide overnight.

📋 Get Pre-Approved

Rates at 6.00% are at three-year lows. Secure pre-approval and consider locking your rate quickly to protect against any future increases. A locked rate gives you negotiating confidence.

💰 For Sellers: Price Correctly

The market rewards accurate pricing. Homes priced at market value in the core $300K–$500K range are still achieving 99.8% of list price. Overpricing leads to extended DOM and eventual reductions that signal weakness to buyers.

✨ Present Well

With 175 competing listings, superior staging, professional photography, and excellent home condition are no longer optional—they are essential differentiators that directly impact both speed of sale and final price achieved.

QUICK REFERENCE

RapidStats Data Summary

Median Price

$430,000
+2.4% YoY
Modest appreciation continues

Days on Market

24 Days
+1 day YoY
Still relatively quick

Sale-to-List Ratio

98.2%
−0.2% YoY
Near-full asking prices

Months' Supply

4.3 Months
+59.4% YoY
Approaching balanced market

Inventory

175 Units
+10.8% YoY
Expanding buyer selection

New Listings

88 Homes
+12.8% YoY
Supply outpacing demand

Closed Sales

41 Transactions
−30.5% YoY
Significant demand cooling

Mortgage Rate

6.00%
−0.87% YoY
Three-year lows (Freddie Mac)

Data Sources: RapidStats MLS Reports, Freddie Mac PMMS, NAR Existing Home Sales, BLS LAUS, BLS QCEW, U.S. Census ACS — Washington County, March 2026

MARKET NEWS

Recent Headlines

1

Housing Most Affordable Since March 2022 — NAR

The National Association of Realtors reports that housing affordability has reached its best level since March 2022, driven by wage growth outpacing home price increases combined with declining mortgage rates. For Washington County buyers, this translates to improved purchasing power even as local prices remain above the national median of $396,800.

Source: National Association of Realtors, February 2026

2

Freddie Mac: 30-Year Rates Hit Three-Year Low at 6.00%

Freddie Mac's Primary Mortgage Market Survey confirmed 30-year fixed mortgage rates fell to 6.00% in February 2026—the lowest level since early 2023. The 87 basis point decline from a year ago reduces monthly payments by approximately $170 on a median-priced Washington County home, improving affordability for qualified buyers entering the market.

Source: Freddie Mac PMMS, February 2026

3

Washington County Leads Wisconsin in Employment Growth

Washington County recorded the largest year-over-year employment growth among all Wisconsin counties at 1.2% from December 2023 to December 2024. With unemployment at just 2.3–2.6%—well below the state rate of 3.1% and national rate of 4.4%—and wage growth of 4.5%, the county's economic fundamentals remain among the strongest in the region, providing a solid foundation for long-term housing demand.

Source: BLS LAUS, BLS QCEW, December 2024

NEXT STEPS

Ready to Make Your Move?

Main Takeaways for Buyers

- Inventory is up 10.8%—you have the best selection in years with reduced competition
- Mortgage rates at 6.00% (three-year lows) save ~$170/month vs. last year—act before rates rise
- Washington County's strong economy (2.3% unemployment, 4.5% wage growth) supports long-term property values for those planning to stay 5+ years

Main Takeaways for Sellers

- Price at market value from day one—overpricing in a 4.3-month supply market leads to extended DOM and price reductions
- List early in spring before additional inventory peaks; superior staging and photography are essential differentiators
- Core $300K–$500K segment remains strongest; luxury sellers above $700K must adjust expectations

Whether you're buying, selling, or investing, having the right data makes all the difference. Reach out for a personalized consultation or to receive the full report tailored to your specific situation and goals.

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Schedule Consultation

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